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2027 CYCLE

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CUET UG

Economics

Money and Banking

Official Syllabus · Course II: Introductory Macroeconomics · Class 12 · CUET UG 2027 Cycle Notes

INSIDE
Concept Notes

INSIDE
Solved Examples

INSIDE
Practice MCQs + Solutions

Aligned to the latest official syllabus · Concept-first explanations

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Syllabus Alignment

Sub-topic	Official syllabus pointer (NTA CUET(UG) Economics syllabus 2026, the current 2027 baseline, Course II)	Skills the questions test
Money and money supply	Money — meaning and functions; supply of money; measures of money supply (M1, M2, M3, M4); currency held by the public and bank deposits	Listing money's functions, computing M1–M4 from components, and sorting what counts as money supply.
Money creation	Money creation and money multiplier	Tracing deposits through rounds of lending and applying the 1/CRR multiplier.
Central bank and policy tools	Central bank and its functions (example of the Reserve Bank of India); policy tools to control money supply	Naming RBI's functions and predicting how each tool (repo, CRR, SLR, OMO) moves money supply.

EXAM PATTERN

CUET UG pattern (NTA official information bulletin and syllabus, 2026 cycle — the current 2027 baseline): each subject paper carries **50 compulsory questions** in **60 minutes**, with +5 for every correct answer and −1 for every incorrect answer. The Economics paper follows NCERT Class 12 Economics; this unit is formula-light but direction-heavy — multiplier numericals and tool-direction MCQs (what happens when the RBI raises repo or sells securities) are quick-scoring if the mechanisms are clear.

Money: The Great Social Invention

Imagine paying for this notebook with three chickens and a sack of rice — and hoping the seller wants exactly that. Before money, every trade needed a **double coincidence of wants**: two people, each holding what the other wants, meeting at the same moment. Money dissolves that impossibility — you sell your labour for rupees, then trade rupees for anything.

Function of money	What it does for you
Medium of exchange	Splits barter's single swap into sell-then-buy — the double coincidence dies

Function of money	What it does for you
Unit of account (measure of value)	Everything prices in one common unit — you can compare a phone, a cow and a haircut
Store of value	Earn in June, spend in December — purchasing power survives storage (inflation nibbles it)
Standard of deferred payment	Loans and EMIs are written in money — future obligations become precise

- **Barter's full misery list:** double coincidence of wants, no common measure of value, indivisibility of goods (half a cow?), and fragile future contracts. Money answers all four in one stroke.
- **Fiat money:** modern notes carry no intrinsic value — they are money by government ORDER (fiat) and by universal trust. Old-style fiduciary issue similarly rests on confidence, not gold.
- **The trust engine:** money works only while everyone believes everyone else will accept it. That is why the central bank guards its value so fiercely.

Money Supply: The M1–M4 Family

"Money supply" means the total stock of money the PUBLIC holds at a moment — a stock variable. But money comes in degrees of liquidity (how instantly it can be spent), so economists keep four overlapping measures.

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THE FOUR MEASURES (MEMORISE M1 COLD)

$\text{M1} = C + \text{DD} + \text{OD}$

$\text{M2} = \text{M1} +$ savings deposits with post office savings banks

$\text{M3} = \text{M1} +$ net time deposits with commercial banks

$\text{M4} = \text{M3} +$ total deposits with post office (excluding NSCs)

Letters: C = currency and coins with the PUBLIC · DD = demand deposits with banks (cheque-drawable) · OD = other deposits with the RBI.

- **Liquidity ladder:** M1 is the most liquid (spendable on demand); moving to M4, money locks into time deposits and post-office accounts — liquidity falls.
- **The classic trap:** currency held by BANKS (their vault cash) is NOT money supply. Vault cash cannot be spent by anyone in the public; it re-enters the measure only when handed out.
- **Who issues what:** the RBI issues all currency notes except the one-rupee note and coins (Finance Ministry); the RBI is nonetheless the sole controller of total currency volume.

Credit Creation: The Money Multiplier

Here is banking's open secret: banks never keep all your money. They know depositors won't all arrive at once, so they keep a small reserve and LEND the rest. The borrower spends it; the seller re-deposits it in another bank; THAT bank lends again. The same ₹10,000 hops from bank to bank, creating fresh deposits at every hop.

THE HOPPING RUPEE — CRR = 10%

Round 1: a deposit of ₹10,000 arrives. The bank keeps 10% (₹1,000) and lends ₹9,000.

Round	New deposit (₹)	Reserve kept (₹)	New loan (₹)
1	10,000	1,000	9,000
2	9,000	900	8,100
3	8,100	810	7,290
4	7,290	729	6,561
…	…	…	…
Total	1,00,000	10,000	90,000

- **Total deposits** = 10,000 × (1 + 0.9 + 0.81 + …) = 10,000 × 1/0.10 = ₹1,00,000 — exactly 10 times the first deposit.
- **The system, not the bank:** one bank cannot multiply money (the loan may leave it); the BANKING SYSTEM as a whole does, because each loan re-deposits somewhere.

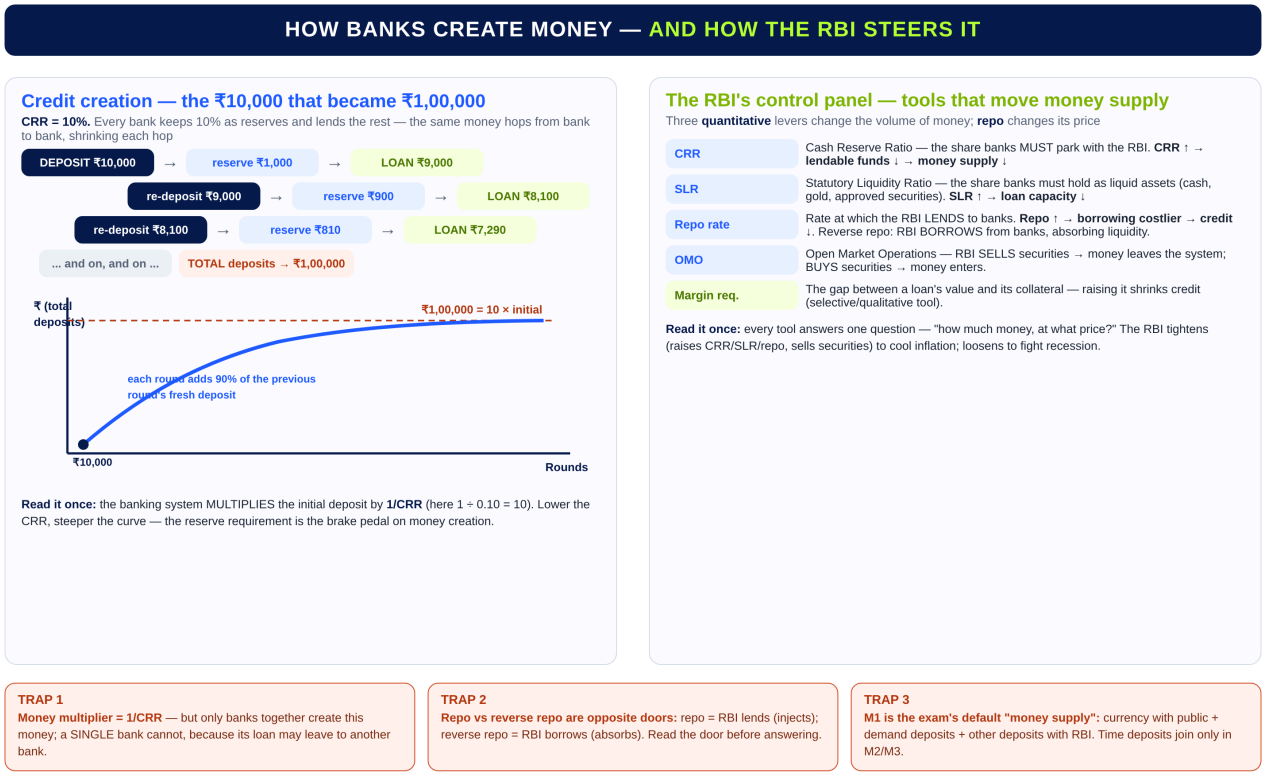


Figure 1: Credit creation and its control: deposit rounds shrink by the reserve ratio until total deposits touch 1/CRR times the initial sum (left); the RBI's quantitative and selective tools steer that multiplier (right).

THE MONEY MULTIPLIER

$$\text{Money multiplier} = \frac{1}{\text{CRR}} \qquad \text{Total deposits} = \text{Initial deposit} \times \frac{1}{\text{CRR}}$$

CRR 10% → multiplier 10 · CRR 20% → multiplier 5 · CRR 5% → multiplier 20. Lower reserves = steeper creation — the reserve ratio is the brake pedal.

Real-world leakages: cash held back by the public and excess reserves shrink the actual multiple below 1/CRR.

The Commercial Bank's Two Jobs

Commercial banks stand between savers and borrowers, earning the spread between the two rates. Their functions split into two families.

- **Accepting deposits:**
  - **Demand deposits:** current accounts (businesses, no interest, unlimited cheques) and savings accounts (households, modest interest) — withdraw ANY time.
  - **Time deposits:** fixed deposits and recurring deposits — locked for a period, higher interest, premature withdrawal penalised.
- **Advancing loans:**
  - **Cash credit** — borrow up to a sanctioned limit against collateral.
  - **Overdraft** — withdraw more than your account balance, up to a limit.

- **Term loans** — lump sum, repaid in instalments (EMIs).
- **Discounting bills of exchange** — the bank buys the trader's receivable at a discount, giving instant cash.

- **The by-product:** every loan run creates deposits — the credit-creation engine of the previous section.

The Central Bank: The RBI's Six Hats

The central bank is no ordinary bank — it has no retail customers. It serves the GOVERNMENT, the BANKS, and the WHOLE ECONOMY. The apex institution of India's monetary system is the Reserve Bank of India (established 1935).

- **Bank of issue:** sole authority to issue currency notes (bar the ₹1 note and coins) — its signature gives money its trust.
- **Banker to the government:** keeps the government's accounts, lends short-term, manages public debt — the state's own banker.
- **Bankers' bank:** every commercial bank keeps reserves with the RBI and settles inter-bank claims through it.
- **Lender of last resort:** when no one else will fund a distressed bank, the RBI steps in — preventing panic from spreading.
- **Custodian of foreign exchange reserves:** guards the country's forex and stabilises the rupee's external value.
- **Controller of credit:** the superpower — steering the whole economy's money supply through the policy toolbox below.

The Policy Toolbox: How the RBI Steers Money

Every tool works by changing either the VOLUME of lendable funds or the PRICE of borrowing. Quantitative tools move the whole economy; selective tools target specific credit.

Tool	What it is	Tightening effect
Repo rate	Rate at which RBI LENDS short-term to banks	Repo ↑ → borrowing costlier → credit ↓
Reverse repo	Rate at which RBI BORROWS from banks (absorbs liquidity)	Reverse repo ↑ → banks park more with RBI → credit ↓
Bank rate	Long-term lending rate of RBI to banks	Bank rate ↑ → credit costlier
CRR	Share of deposits banks must park with RBI in CASH	CRR ↑ → lendable funds shrink
SLR	Share banks must hold as liquid assets (cash, gold, approved securities)	SLR ↑ → loan capacity shrinks

Tool	What it is	Tightening effect
Open market operations	RBI buys/sells government securities in the open market	RBI SELLS → money leaves the system
Margin requirement	Gap between collateral value and loan amount (selective)	Margin ↑ → smaller loans

- **The two directions to memorise:** fighting INFLATION = tighten (raise repo/CRR/SLR, sell securities); fighting RECESSION = loosen (cut rates, buy securities). Every tool MCQ is just this map plus one tool's name.
- **Why OMO is elegant:** the transaction IS the money movement — when the RBI pays for securities, new money enters accounts directly; when it sells, buyers' money vanishes into the RBI.

Key Formulas & Rules: One-Stop Revision

MONEY AND BANKING — EVERY RULE ON ONE PAGE

Rule	Statement	When to use it
Four functions	Medium of exchange, unit of account, store of value, deferred payment	Definition MCQs
M1	C + DD + OD	Narrowest, most liquid measure
M2	M1 + post office savings	Ladder questions
M3	M1 + net time deposits with banks	The widely quoted aggregate
M4	M3 + post office total deposits	Widest, least liquid
Not money supply	Currency held BY BANKS (vault cash)	Inclusion-exclusion checks
Money multiplier	1 ÷ CRR	Every creation numerical
Total deposits	Initial deposit × 1/CRR	Round-by-round or direct
Repo vs reverse repo	RBI lends vs RBI borrows	Direction of liquidity
Tighten vs loosen	Inflation: raise repo/CRR/SLR, sell securities · Recession: reverse	Tool-direction MCQs
OMO	RBI sells → money ↓; buys → money ↑	Direct money movement

Rule	Statement	When to use it
Lender of last resort	RBI funds banks no one else will	Central-bank function lists

Common Errors & Special Cases

THE TRAPS THIS UNIT SETS — READ BEFORE THE MOCK

The rule you assume	The twist	The trap in the question
"All currency is money supply"	Only currency with the PUBLIC counts — vault cash is out	M1 component checks
"One bank multiplies money"	The SYSTEM multiplies; a single bank's loan may flee to another	Credit-creation logic
"Repo and reverse repo are synonyms"	Repo injects (RBI lends); reverse repo absorbs (RBI borrows)	Tool-direction MCQs
"CRR and SLR are the same"	CRR = cash with RBI; SLR = liquid assets the bank itself holds	Reserve-ratio sorting
"Higher M-number means more liquid"	Reverse it: M1 is most liquid; M4 the least	Liquidity-ladder ranking
"Buying shares is investment spending"	In money questions too, financial deals reshuffle — they create no deposit multiplier	What-counts checks
"Tightening fights recession"	Tightening fights INFLATION; recession calls for loosening	Policy-direction MCQs
"Multiplier works with leakages"	Public cash-holding and excess reserves shrink 1/CRR to less	Multiplier caveats

The 60-Second Self-Test

Cover the answers, say each one aloud, then check. If any answer takes longer than ten seconds, revisit that section.

- **C = ₹8,00,000 cr, DD = ₹6,00,000 cr, OD = ₹10,000 cr.** M1? → ₹14,10,000 crore — plain addition.
- **Initial deposit ₹5,000, CRR 20%.** Total deposits? → 5,000 × 5 = ₹25,000.
- **RBI sells government securities.** Money supply? → Falls — buyers' money moves into the RBI.
- **RBI raises the repo rate from 6% to 6.5%.** Borrowing becomes? → Costlier — credit and money supply shrink (tightening).
- **Which is most liquid: M1, M3 or M4?** → M1 — demand deposits and currency spend instantly.
- **A bank's vault cash of ₹500 cr.** Part of money supply? → No — currency with banks never counts.

The Whole Chapter in One Picture



Figure 2: Chapter mindmap: money's functions, the M1–M4 ladder, credit creation with the 1/CRR multiplier, the RBI's six hats, the policy toolbox, and the commercial bank's two jobs — with the traps that catch most students.

Practice Questions (Exam Pattern)

Ten questions in the CUET UG style. Attempt all of them — the paper gives +5 for each correct answer and takes nothing away for a wrong one.

Q1. Which of the following is NOT a function of money?

(A) medium of exchange
(B) store of value
(C) standard of deferred payment
(D) direct satisfaction of human wants

Q2. M1 in India includes:

(A) currency with public + demand deposits + other deposits with RBI
(B) currency with banks + fixed deposits
(C) only currency with the public
(D) time deposits + post office savings

Q3. If the CRR is 20%, the money multiplier is:

(A) 2
(B) 5
(C) 20
(D) 0.2

Q4. An initial deposit of ₹20,000 with CRR at 10% can create total deposits of:

(A) ₹40,000
(B) ₹2,00,000
(C) ₹2,20,000
(D) ₹1,00,000

Q5. The repo rate is the rate at which:

(A) banks lend to the public
(B) the RBI lends to commercial banks
(C) banks lend to the RBI
(D) the government borrows abroad

Q6. An INCREASE in the reverse repo rate will:

(A) inject liquidity into banks
(B) encourage banks to park funds with the RBI, reducing liquidity
(C) force banks to lend more
(D) have no monetary effect

Q7. To control inflation, the RBI should:

(A) lower the CRR and buy securities
(B) raise the repo rate and sell securities
(C) reduce the SLR
(D) print more currency

Q8. When the RBI SELLS government securities in the open market:

(A) money supply increases
(B) money supply decreases
(C) credit creation speeds up
(D) the multiplier rises

Q9. Which measure of money supply is the MOST liquid?

(A) M1 **(B)** M2
(C) M3 **(D)** M4

Q10. Which function is EXCLUSIVE to the central bank?

(A) accepting demand deposits from the public **(B)** discounting bills of exchange
(C) being the lender of last resort **(D)** advancing loans to firms

Detailed Solutions

Each solution shows the working, not just the verdict — cover the answer line, attempt the reasoning, then compare.

Sol. Q1. Money works by being ACCEPTED in exchange — it satisfies wants indirectly, by buying goods. Direct want-satisfaction is what ordinary goods do; money's whole genius is being the middleman.

Answer: (D)

Sol. Q2. M1 = C (currency with PUBLIC) + DD (demand deposits) + OD (other deposits with RBI). Vault cash and time deposits belong to later aggregates, not M1.

Answer: (A)

Sol. Q3. Multiplier = 1 ÷ CRR = 1 ÷ 0.20 = 5. Every ₹100 of deposits keeps ₹20 idle and recycles ₹80 into fresh deposits — the chain sums to five times the start.

Answer: (B)

Sol. Q4. Total deposits = initial × 1/CRR = 20,000 × 10 = ₹2,00,000. The first hop alone (₹18,000 loan) must not be mistaken for the whole chain.

Answer: (B)

Sol. Q5. Repo = repurchase rate — the RBI lends to banks against securities, and the banks repurchase them later. Banks lending to the RBI is the REVERSE repo.

Answer: (B)

Sol. Q6. A juicier reverse repo makes parking funds with the RBI more attractive — banks hold back from lending, and system liquidity drains. It is a tightening move.

Answer: (B)

Sol. Q7. Inflation calls for tightening: costlier borrowing (higher repo) and shrunken lendable funds (higher CRR), plus security sales that pull money out. Printing more currency would pour fuel on the fire.

Answer: (B)

Sol. Q8. Buyers pay the RBI from their bank accounts — that money leaves circulation and lands at the central bank. Money supply falls; the multiplier has less to work with.

Answer: (B)

Sol. Q9. M1 holds currency and demand deposits — spendable on demand, zero waiting. Each step to M4 locks money into less accessible deposits.

Answer: (A)

Sol. Q10. Lender of last resort is the central bank's signature duty — funding banks in distress when markets refuse. Accepting public deposits and discounting bills are commercial banks' bread and butter.

Answer: (C)

Wrong-Answer Clinic — the one-line corrections

Dropped marks above? Find your slip here and rewrite the corrected rule in your own words.

If you answered...	Your slip was...	The corrected rule, in one line
Q2 option B	Letting bank vaults into M1	Only currency with the PUBLIC counts — vault cash is invisible to money supply
Q3 option C	Multiplying by CRR instead of dividing	Multiplier = 1 ÷ CRR: 1 ÷ 0.20 = 5 — reserves shrink the chain
Q4 option A	Stopping after one round	The chain runs to exhaustion: 20,000 × 10 = 2,00,000, not one hop
Q6 option A	Reversing the repo doors	Reverse repo ABSORBS liquidity — the RBI borrows from banks at that rate
Q7 option A	Loosening into inflation	Inflation needs TIGHTENING: higher repo/CRR and security sales, not purchases

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